



**Q1 2019
RESULTS**

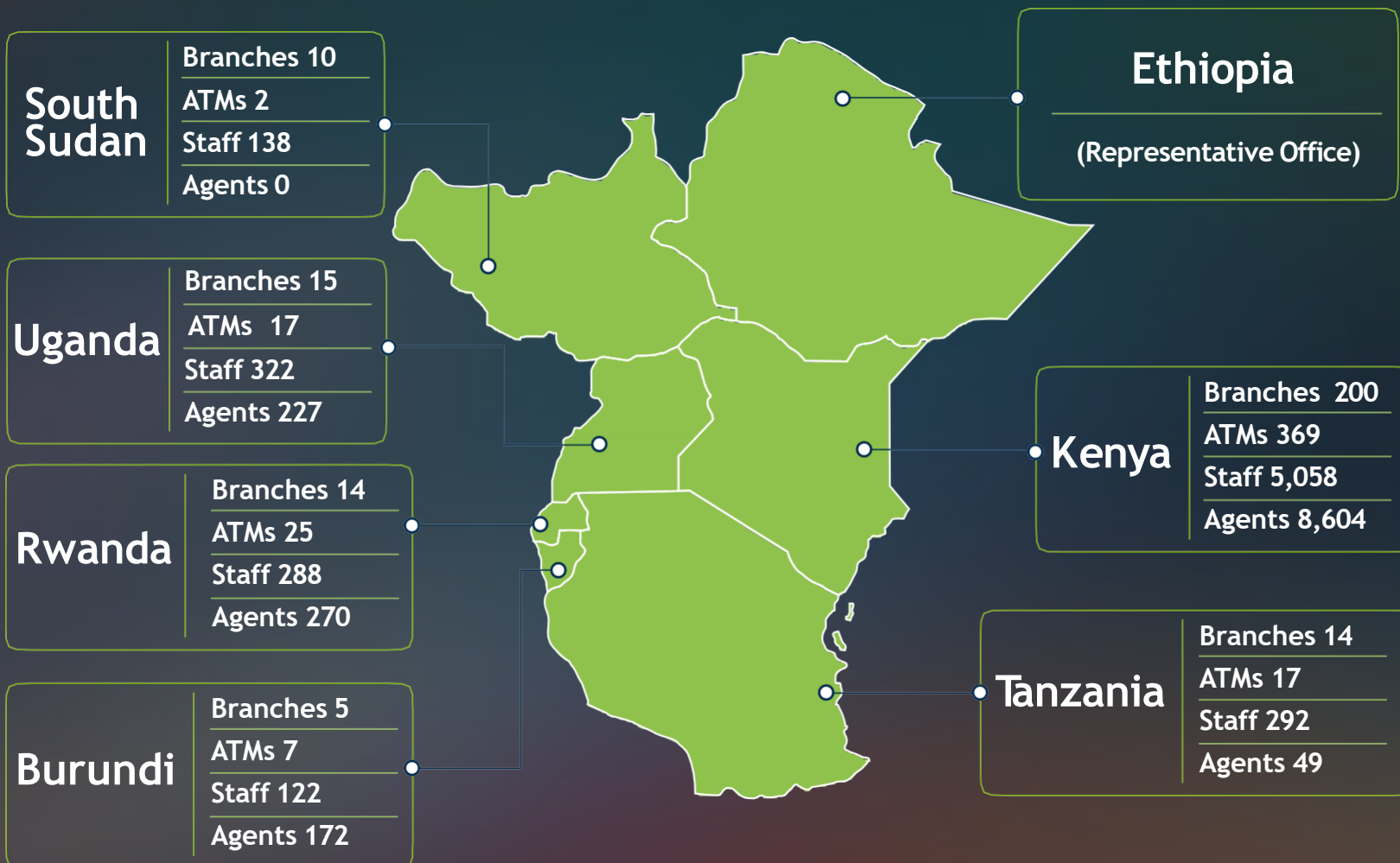
OUR REGIONAL PRESENCE



KShs. 119B
TOTAL EQUITY



258
BRANCHES
946 ATMS,
16,642 AGENTS &
MERCHANTS



Q1 2019 FINANCIAL HIGHLIGHTS

Profit Before Tax (KShs. M)	1Q19 8,496	▲
	1Q18 7,484	

Net Loans and Advances (KShs. M)	1Q19 464,263	▲
	1Q18 418,618	

Customer Deposits (KShs. M)	1Q19 552,204	▲
	1Q18 496,366	

Staff costs (KShs. M)	1Q19 4,612	▲
	1Q18 4,452	

Total debt / Total equity	1Q19 18.0%	▼
	1Q18 22.6%	

Market Capitalization (KShs. M)	1Q19 135,057	▼
	1Q18 159,432	

Return on Average Equity	1Q19 21.9%	▲
	1Q18 19.5%	

Cost to Income Ratio	1Q19 48.5%	▼
	1Q18 49.1%	

Non Performing Loans (KShs. M)	1Q19 38,824	▼
	1Q18 43,775	

2019 KENYA HIGHLIGHTS

Overview of the year to date

National Bank of Kenya (NBK) offer

- Offer to acquire 100% of NBK
- Documentation relating to the acquisition availed to shareholders as per regulatory standards

Banking Industry:

- Momentum for mergers & acquisitions
- Increased regulatory oversight on compliance with Kenya's Anti-Money Laundering and Combating the Financing of Terrorism (AML/CFT)
- Kenya Banking Sector Charter to come in force in June

Economic drivers:

- Big Four – Housing Healthcare Manufacturing Food security
- Resilient Kenya Shilling supported by record growth in diaspora remittances, tourism & horticulture





MACRO- ECONOMIC HIGHLIGHTS



MACRO-ECONOMIC HIGHLIGHTS

Kenya

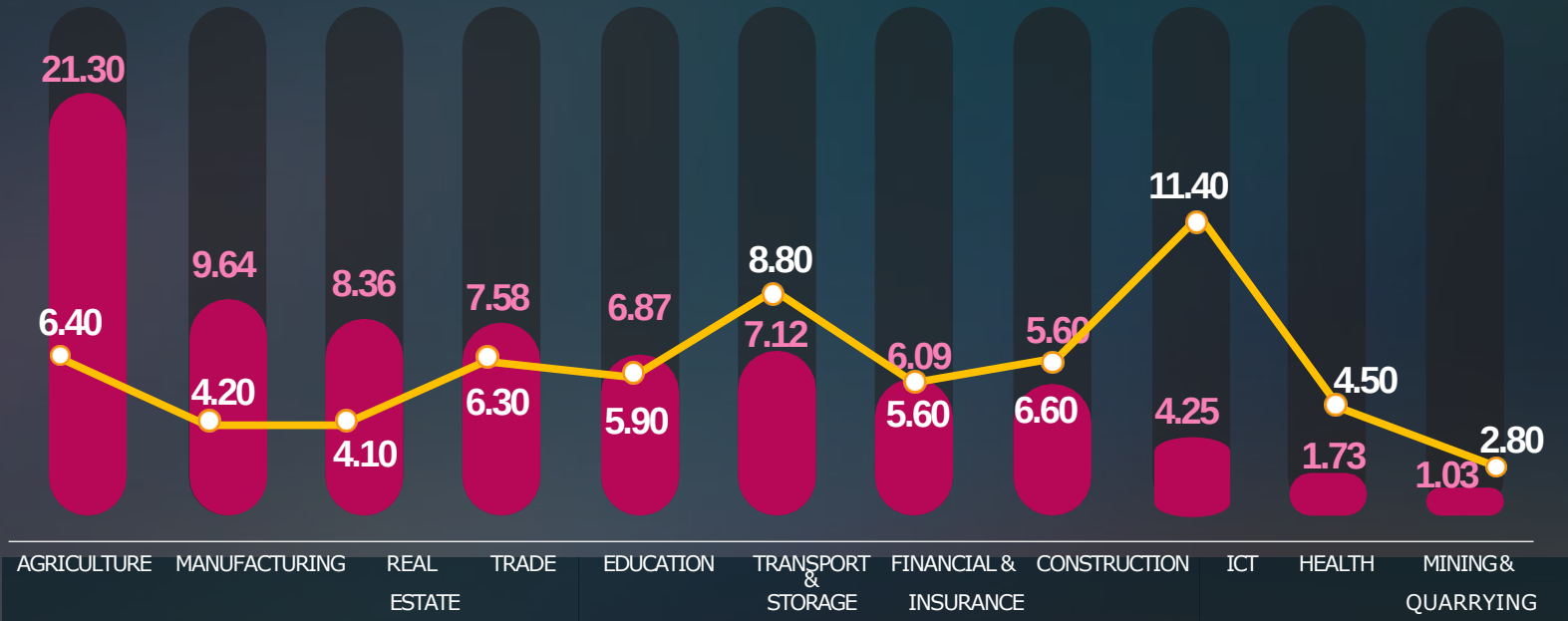


2018

GDP Growth Rate (%)

Contribution to GDP
2018 (%)

2018 Growth (%)



MACRO- ECONOMIC HIGHLIGHTS

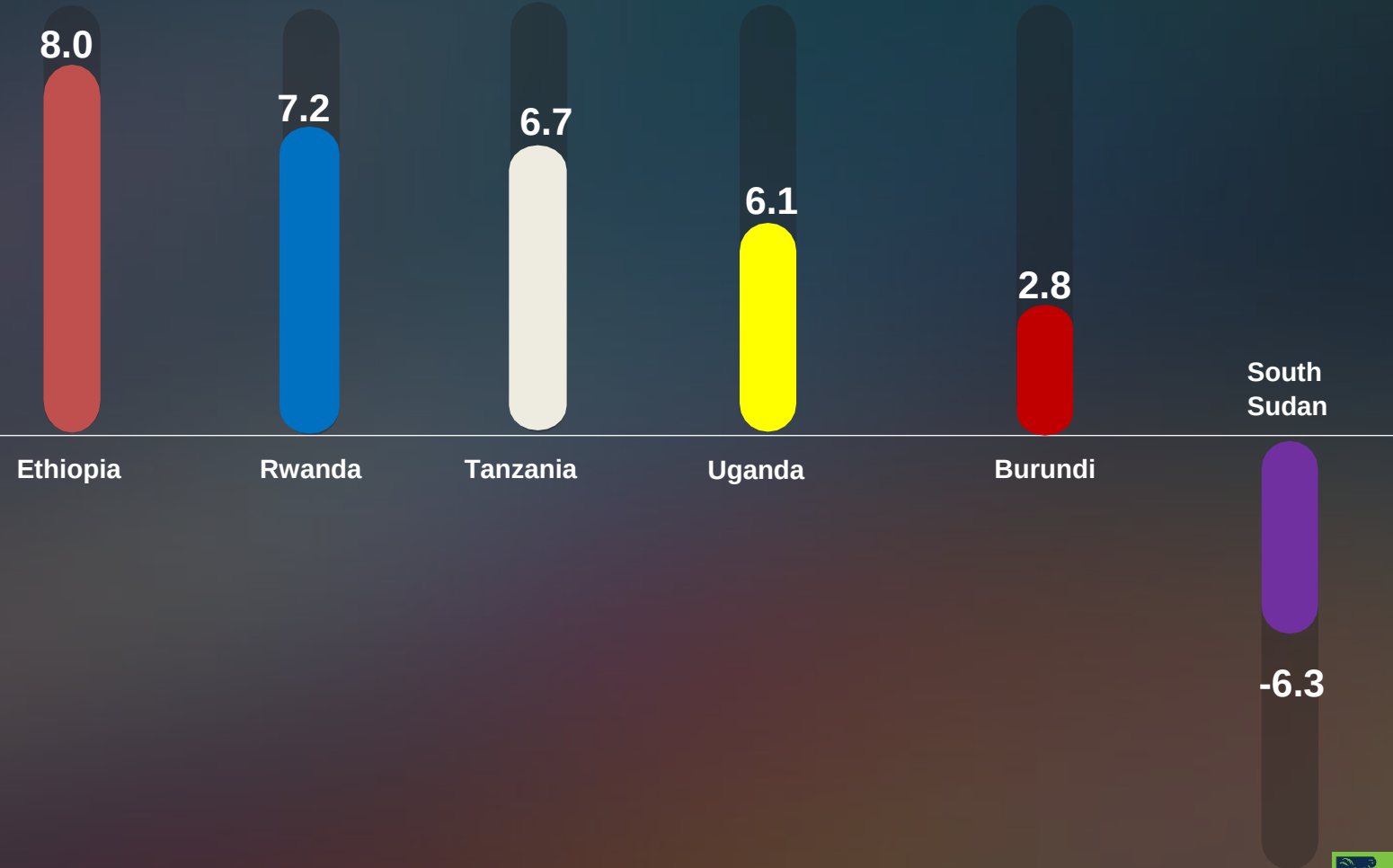
Regional GDP
Growth



2018P*

East Africa
GDP Growth Rate (%)

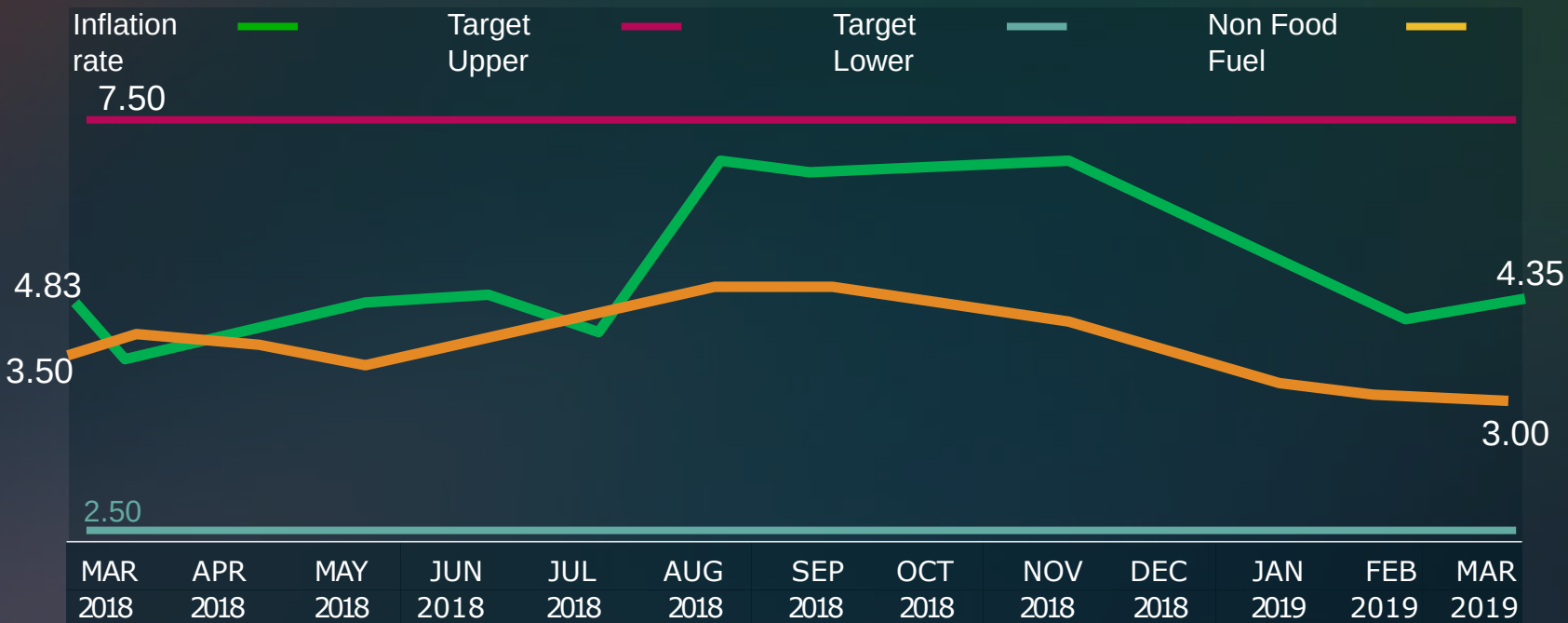
GDP Growth (%)



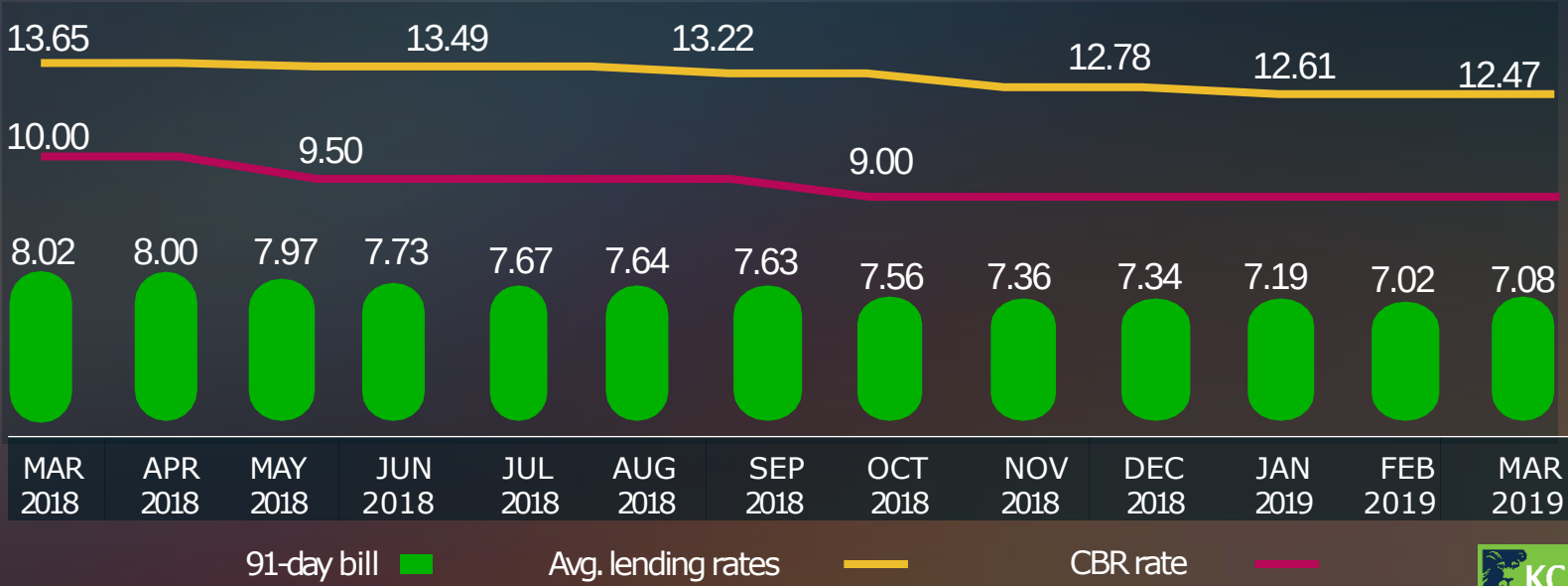
MACRO-ECONOMIC HIGHLIGHTS

Kenya

Inflation Evolution (%)



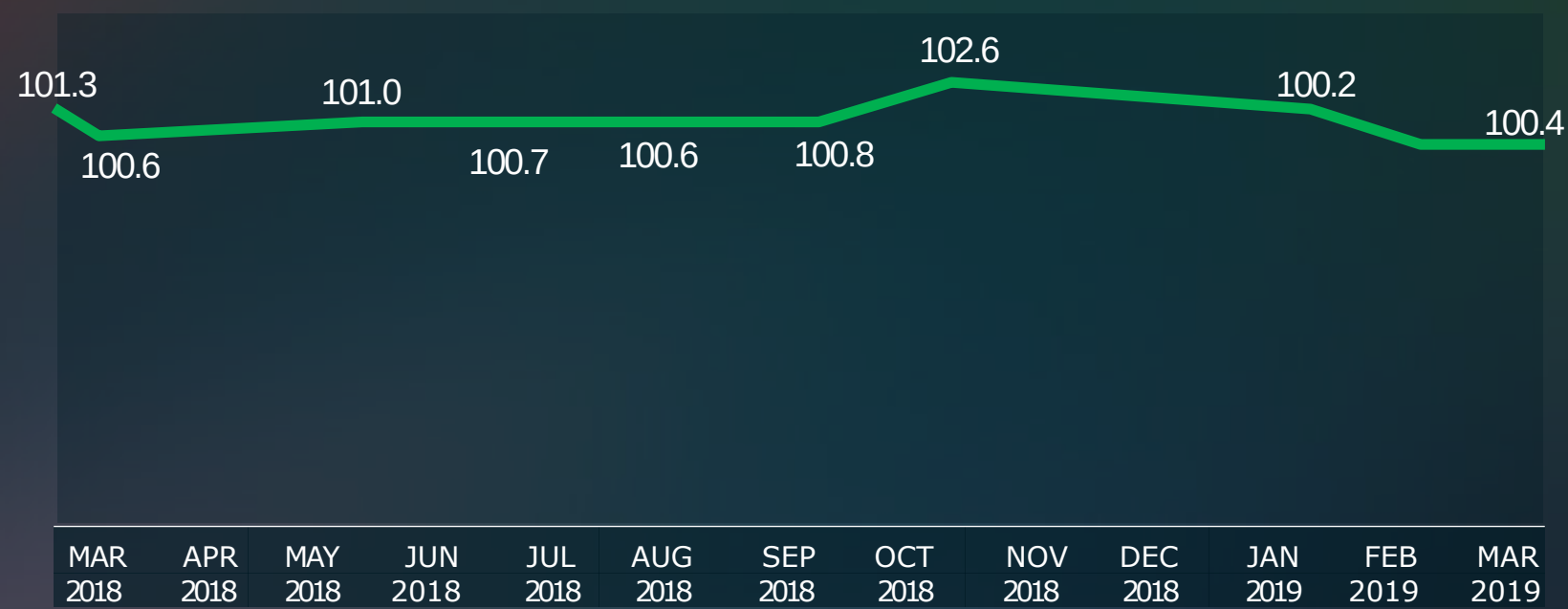
Interest Rate Evolution (%)



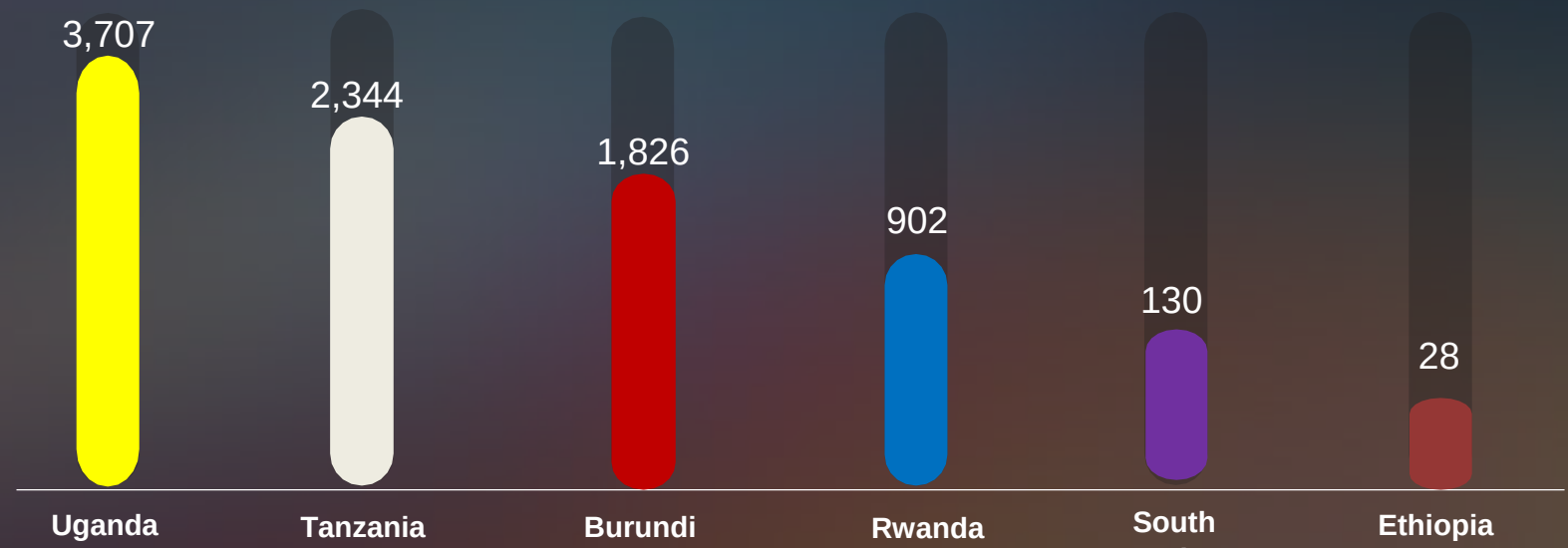
MACRO-ECONOMIC HIGHLIGHTS

Currency Movement

USD/KES Exchange Rate (%)



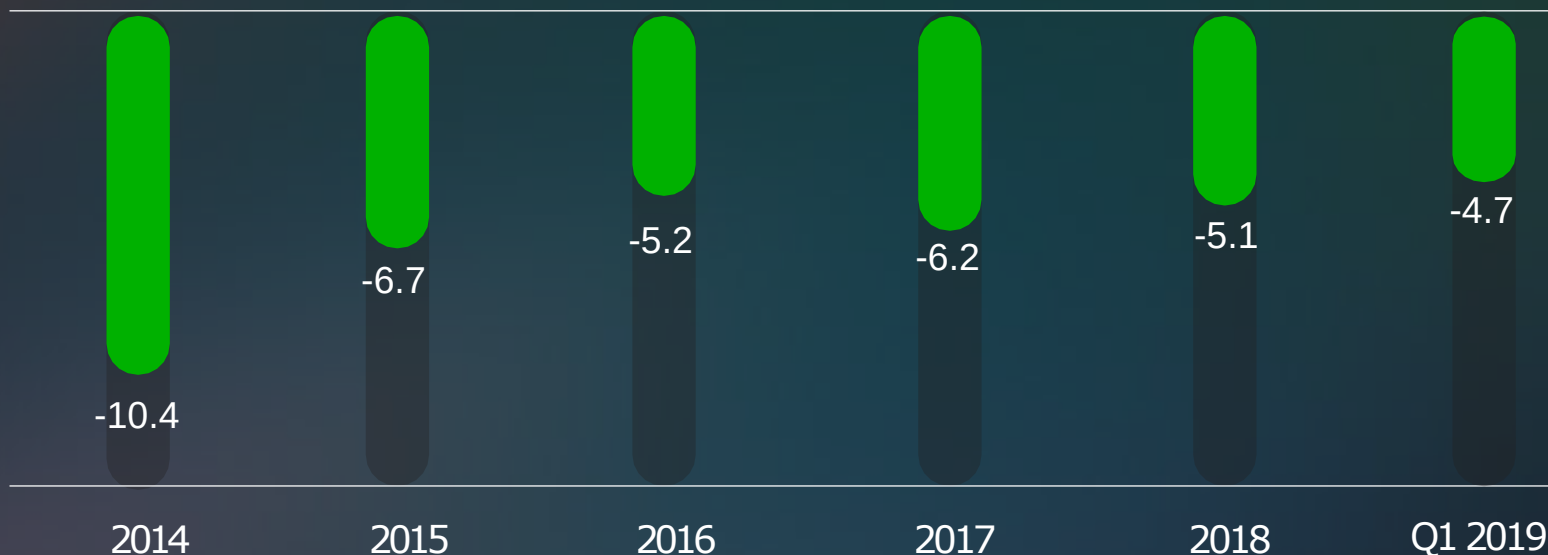
Exchange Rates to USD



MACRO- ECONOMIC HIGHLIGHTS

Kenya

Current Account Balance (% of GDP)



12 Month Private Sector Credit Growth





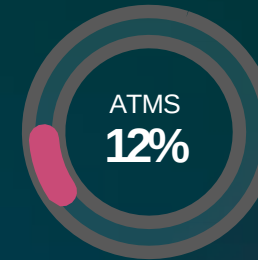
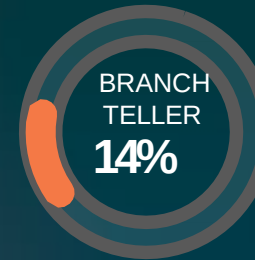
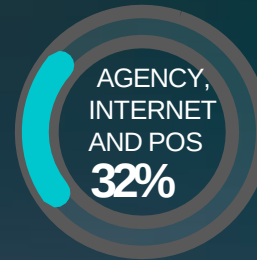
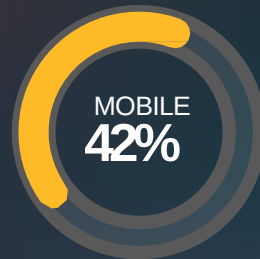
CHANNEL PERFORMANCE

OUR CHANNEL CONTRIBUTION

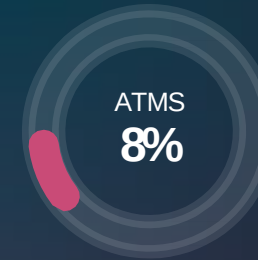
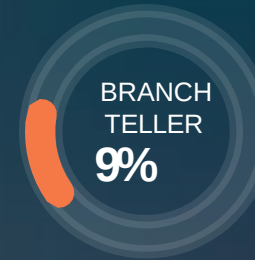
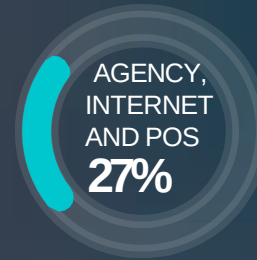
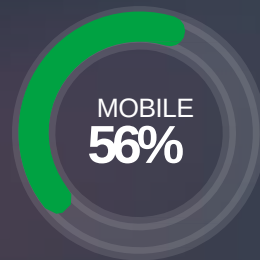
91% of transactions performed outside the branch

137% growth in non-branch revenue to over **3.2B**

March 2018



March 2019



12% decrease in average transactions / teller per day

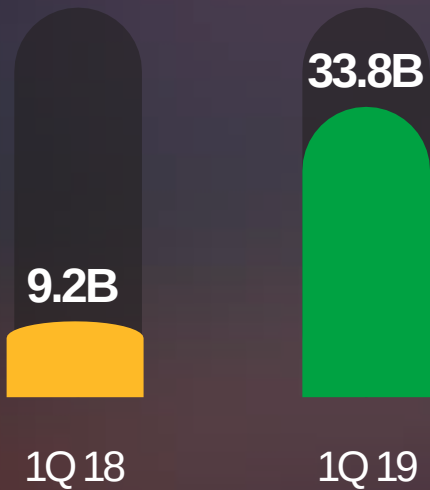


12% decrease in Number of branch transactions.

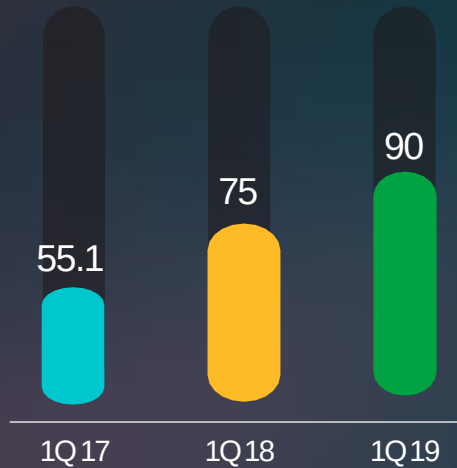


OUR CHANNEL CONTRIBUTION

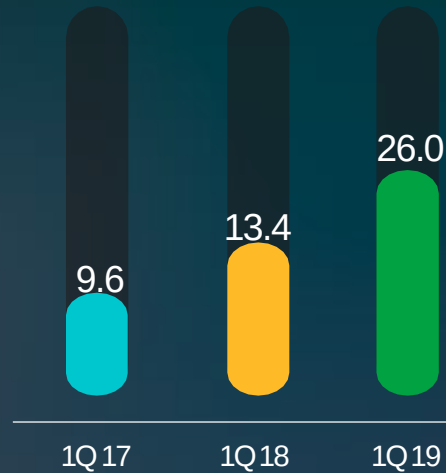
270%
Growth in
Mobile
Loans
Advanced



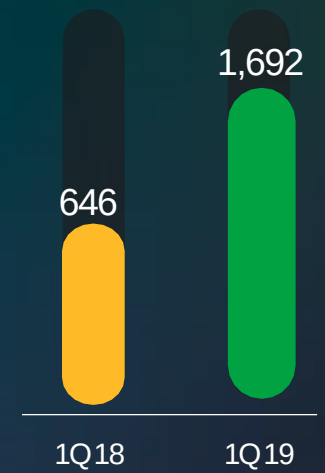
Value of Transactions
(KShs. B)



No. of transactions
(M)



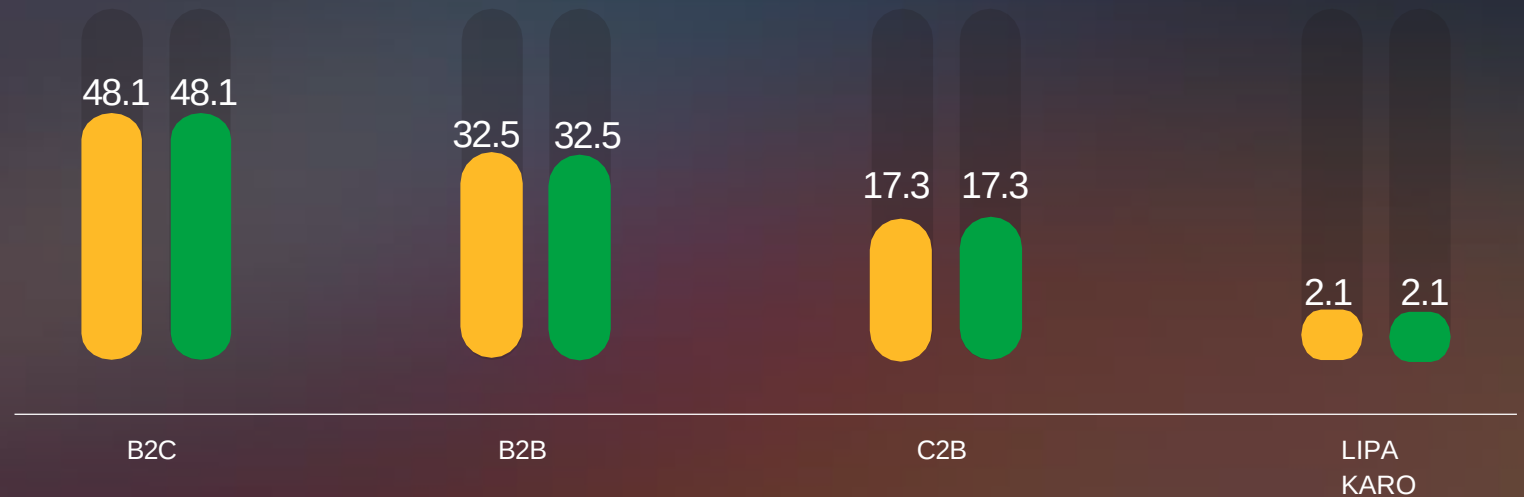
Mobile Revenue
(KShs.M)



Mobile Transaction type (%)

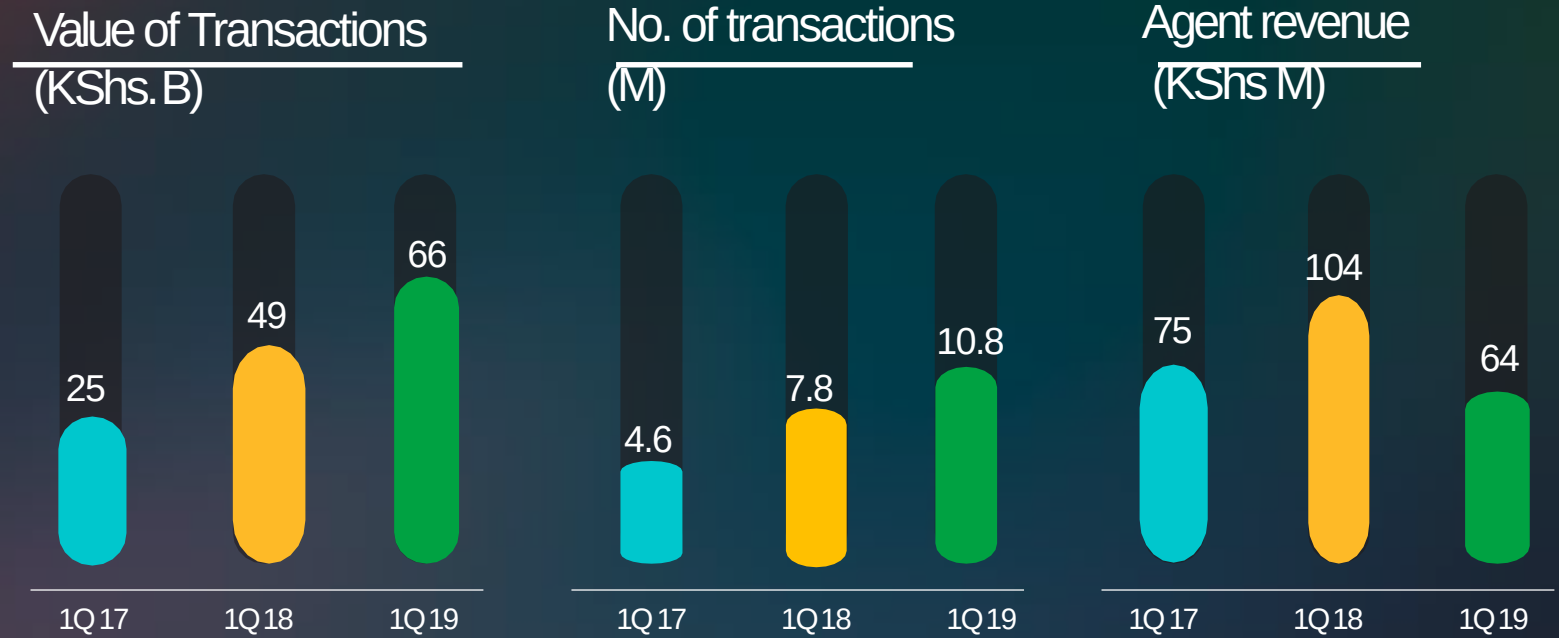
1Q 2018

1Q 2019

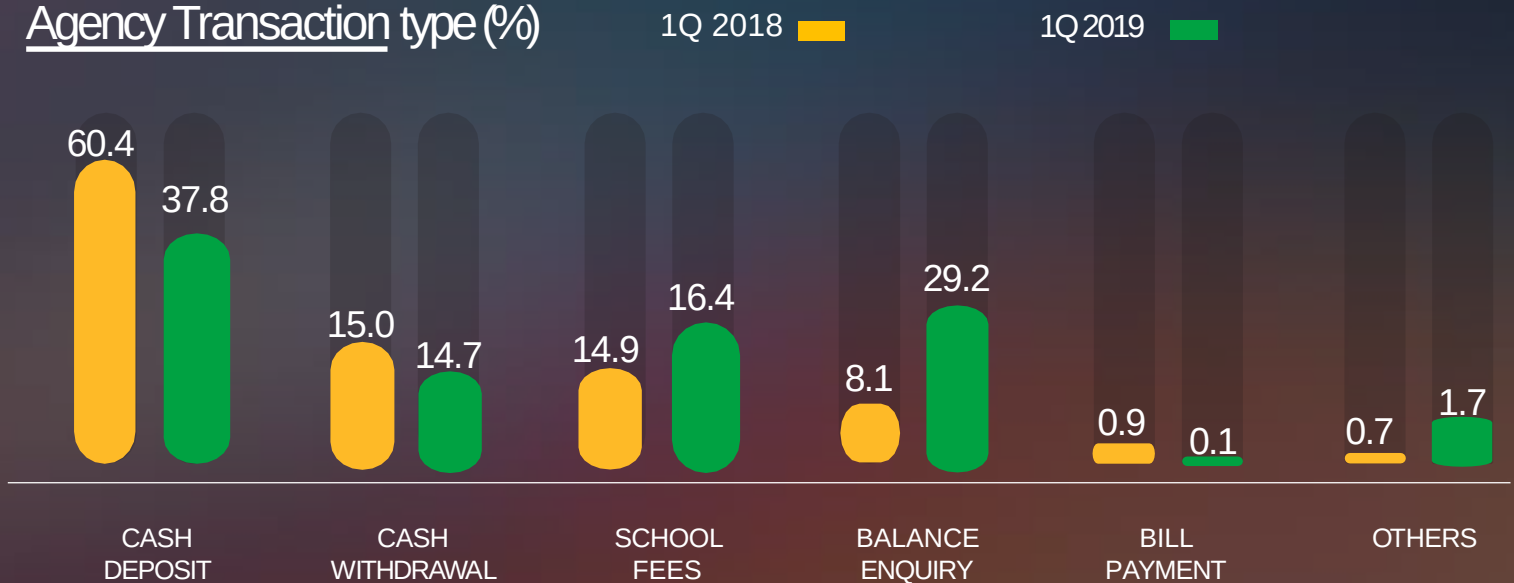


OUR CHANNEL CONTRIBUTION

35%
Growth in
Agency
Banking
Volumes



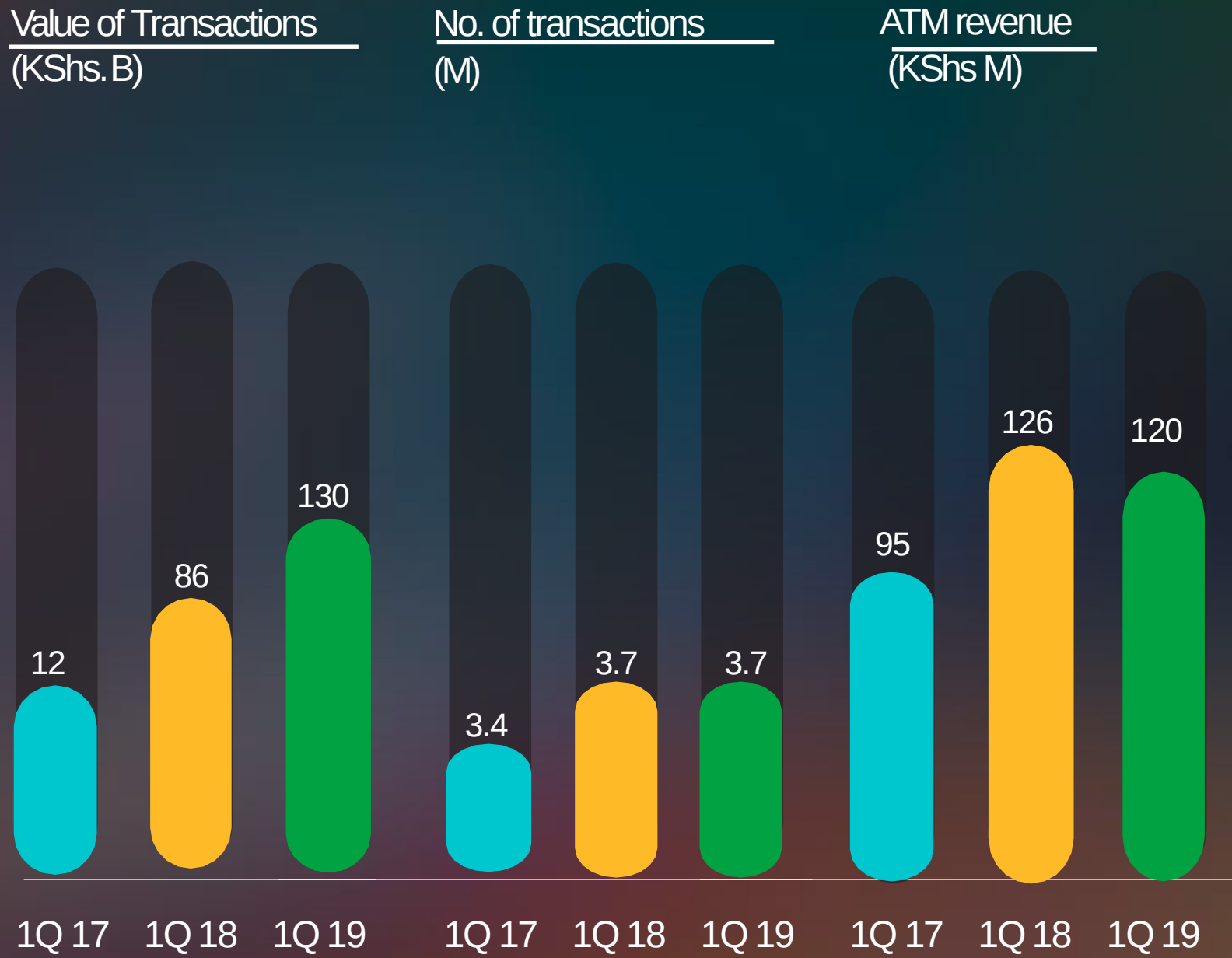
Agency Transaction type (%)



*Others: Account opening, mini statement, load cards and Funds transfer

OUR
CHANNEL
CONTRIBUTION

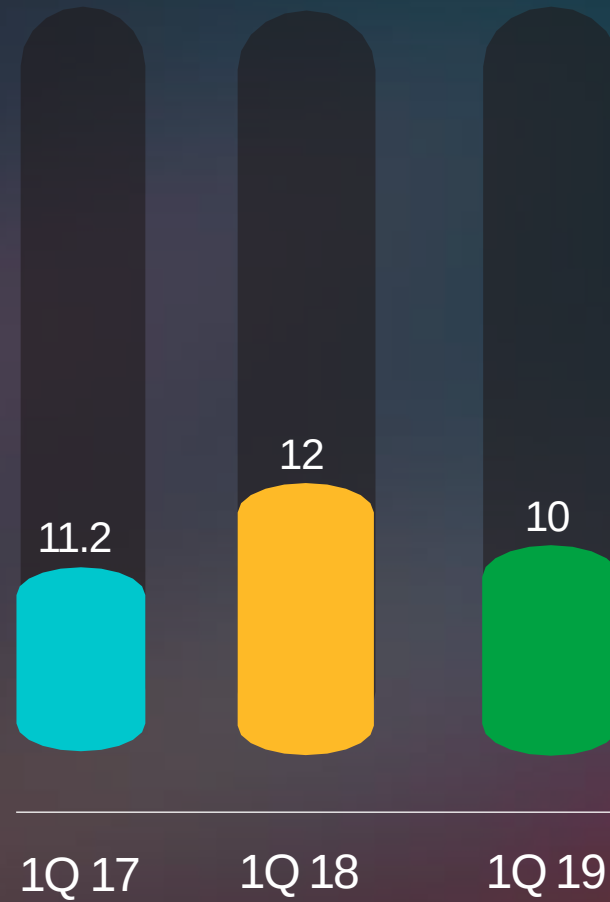
 **2%**
Growth in
ATM
Volumes



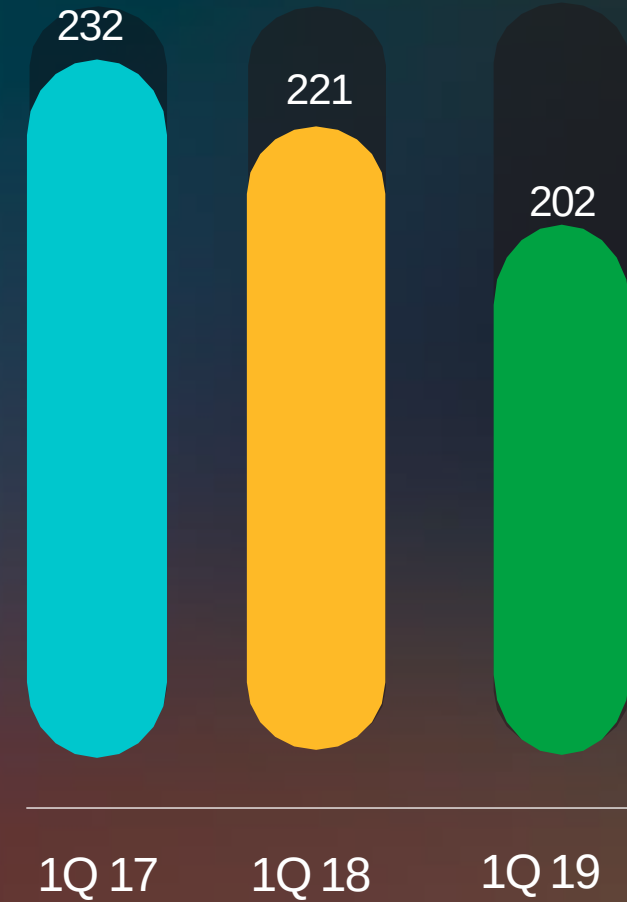
OUR CHANNEL CONTRIBUTION

 **17%**
reduction in
the average
value of
**Merchant/
POS**
transactions

Value of Transactions (KShs. B)



POS Revenue (KShs. M)





OUR FINANCIAL PERFORMANCE TO DATE

BALANCE
SHEET
HIGHLIGHTS

 **12% Total Assets growth**

Govt. Securities

KShs 112.1B

KShs 133.3B

Net Loans & Advances

KShs 418.6B

KShs 464.3B

Customer Deposits

KShs 496.4B

KShs 552.2B

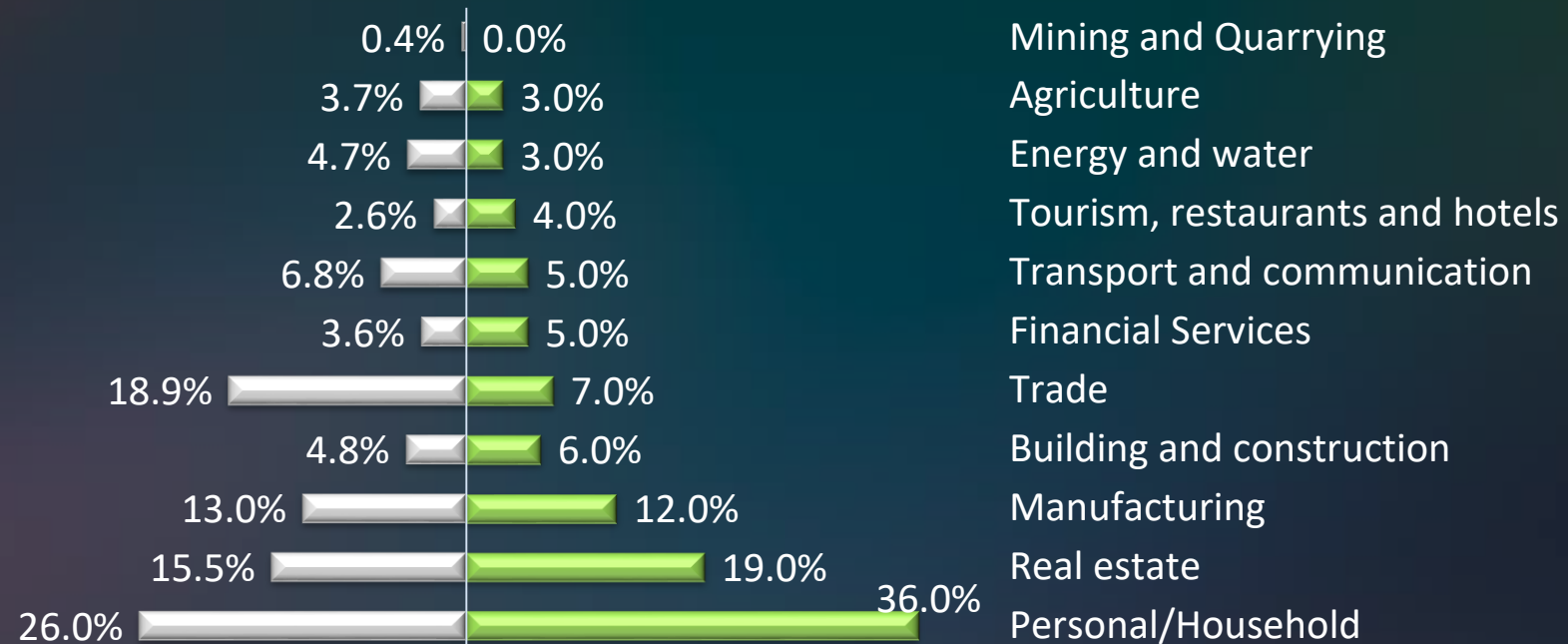
Total Assets

KShs 647.5B

KShs 725.6B

Sectoral Loans Comparison

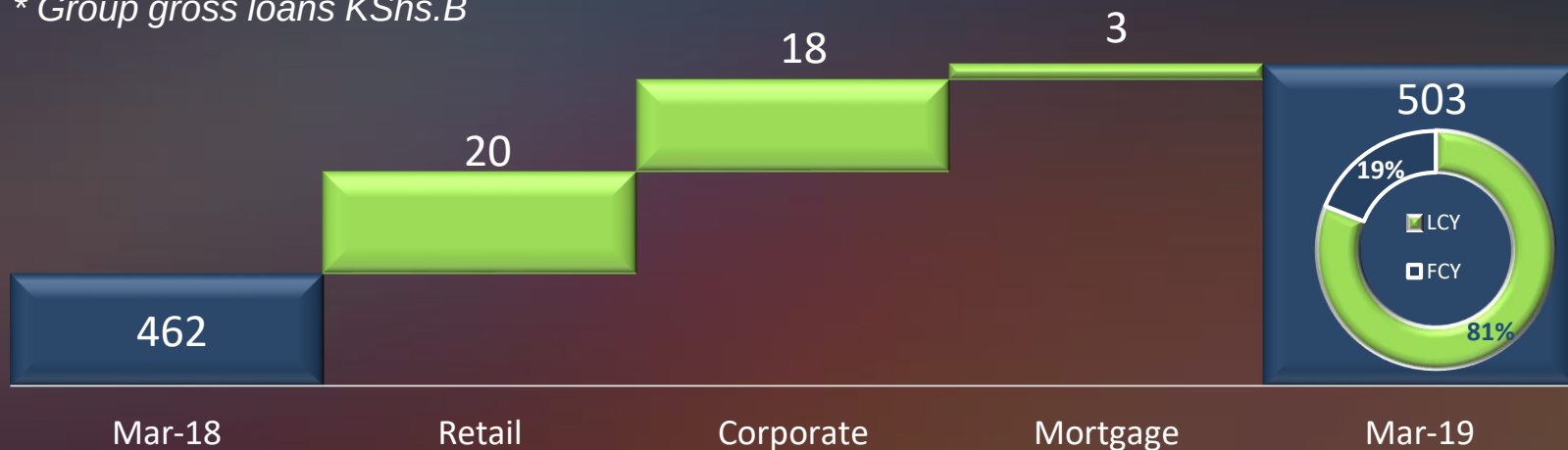
■ Industry Sept 2018 ■ KCB Mar 19



11%

Growth in
Net Loans
and
Advances

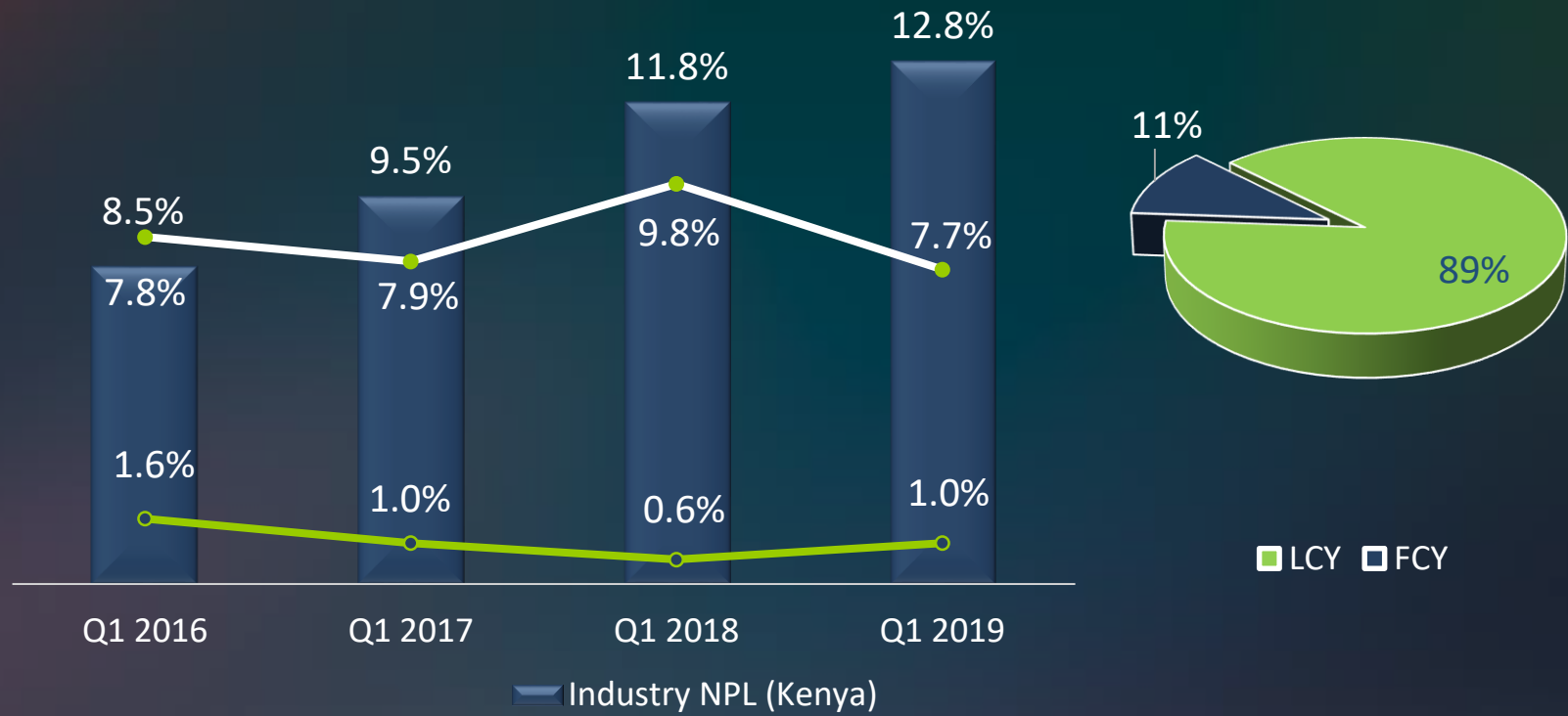
* Group gross loans KShs.B



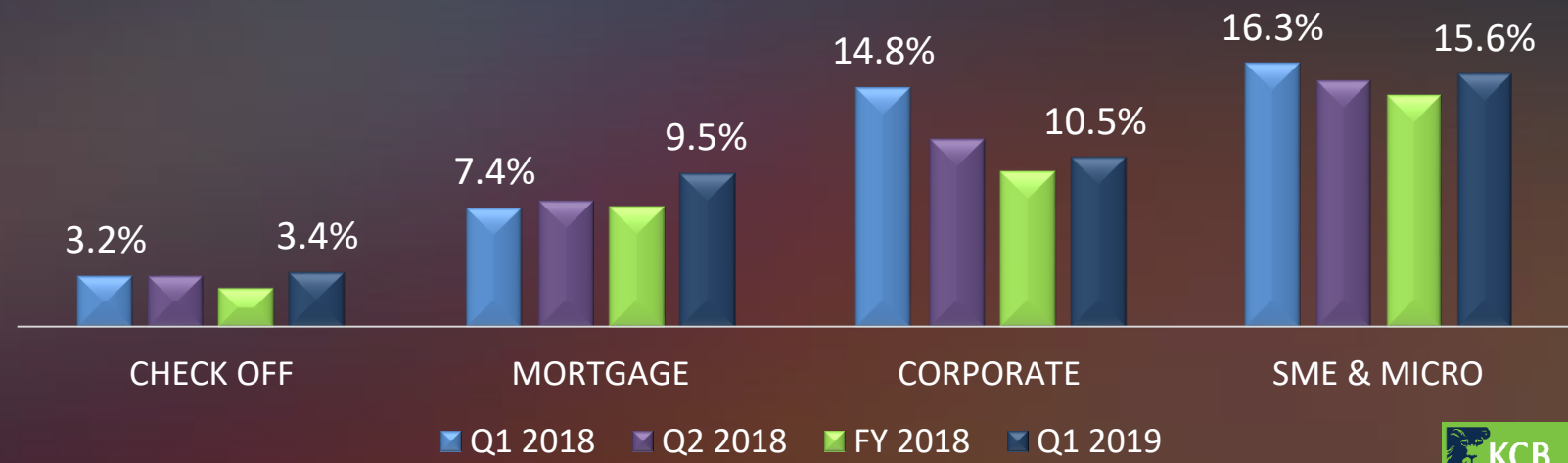
LOAN
BOOK
PERFORMANCE

7.7%
Asset quality improvement

Asset Quality Review



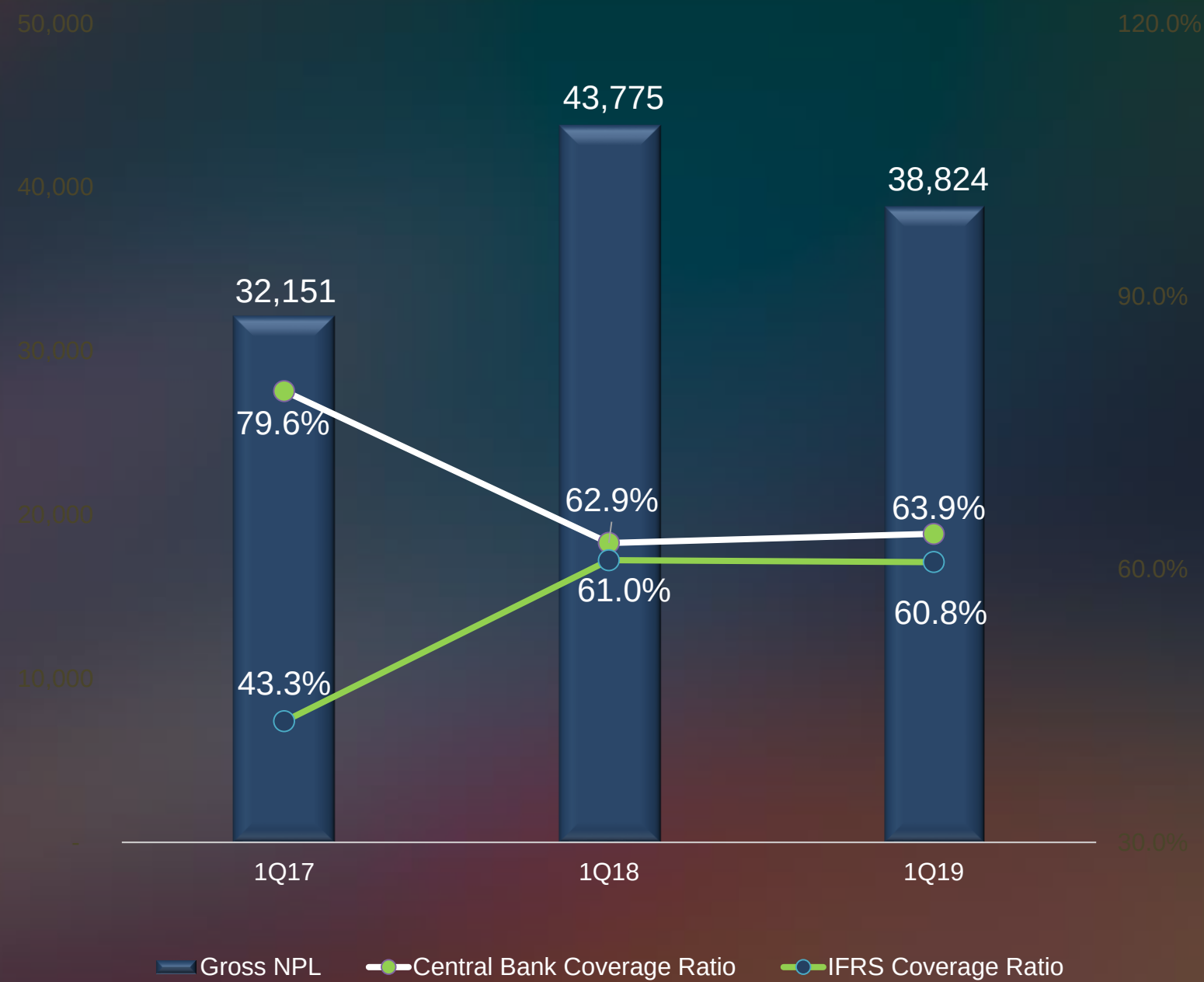
NPL Breakdown



LOAN
BOOK
PERFORMANCE

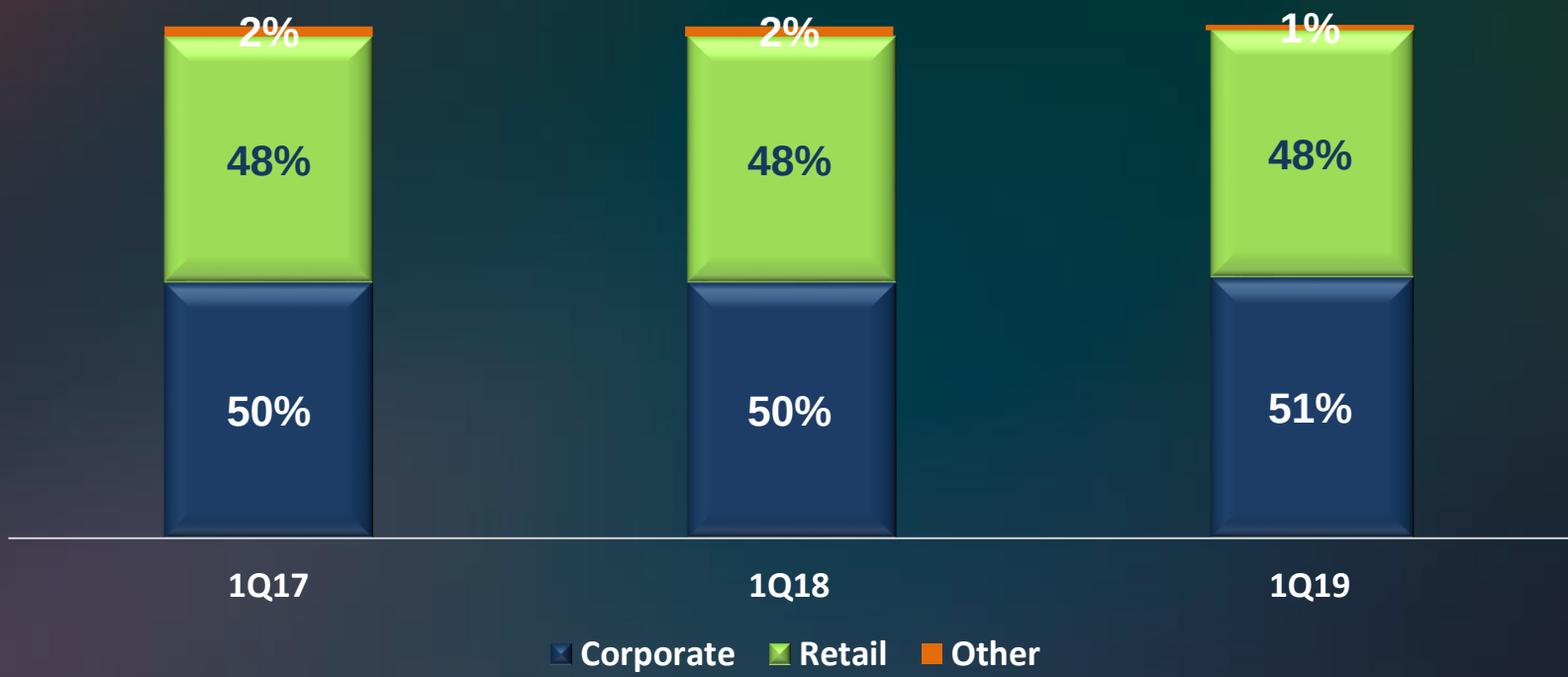
 **11%**
Decrease in
stock of Non-
Performing
Loans

Improved IFRS Coverage

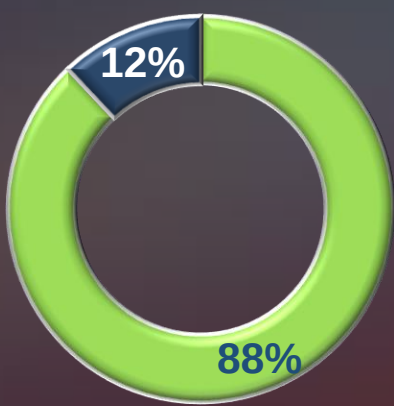


BALANCED
FUNDING
STRUCTURE

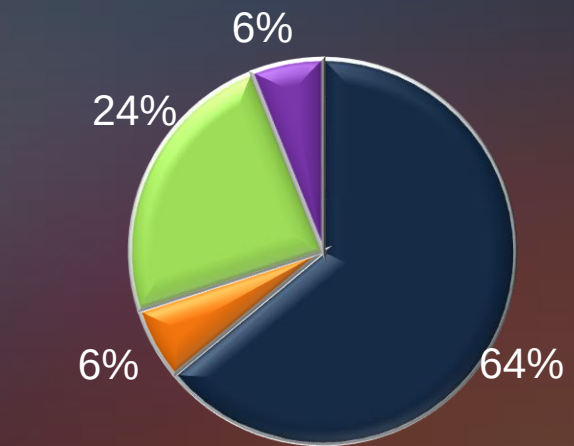
Customer deposits segmentation



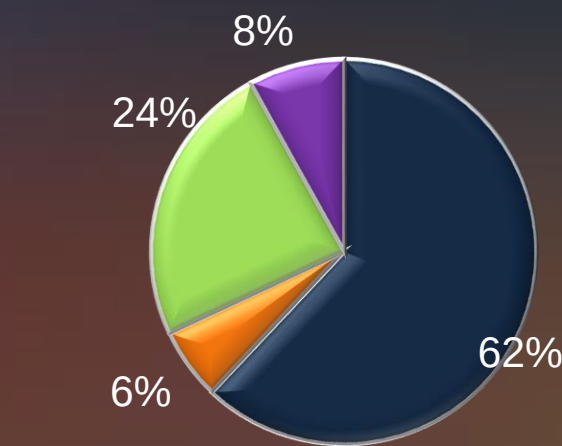
Currency Mix



Customer deposits mix 1Q18



Customer deposits mix 1Q19



LCY FCY

Demand

Savings

Term

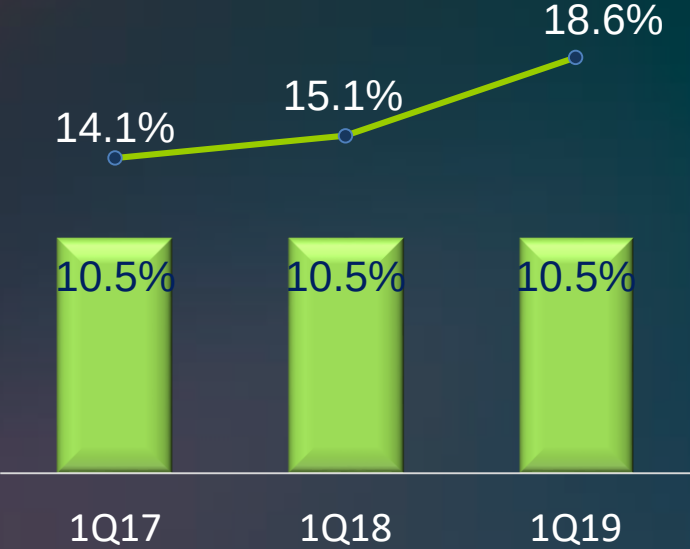
Call



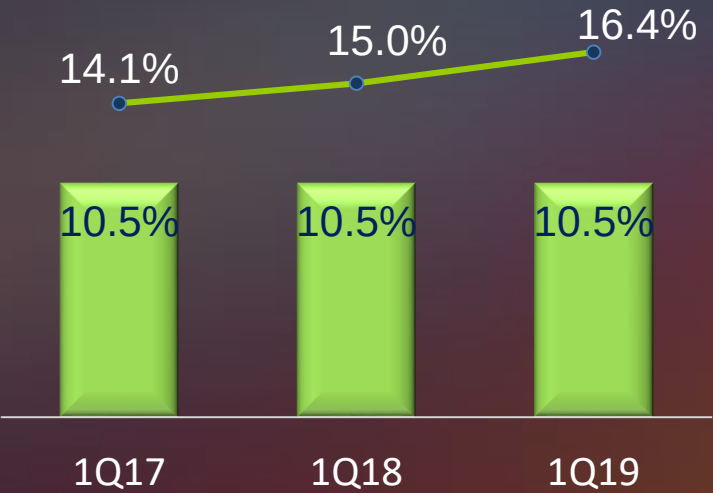
**STRONG
CAPITAL
BUFFERS**

Core Capital to RWA

Group

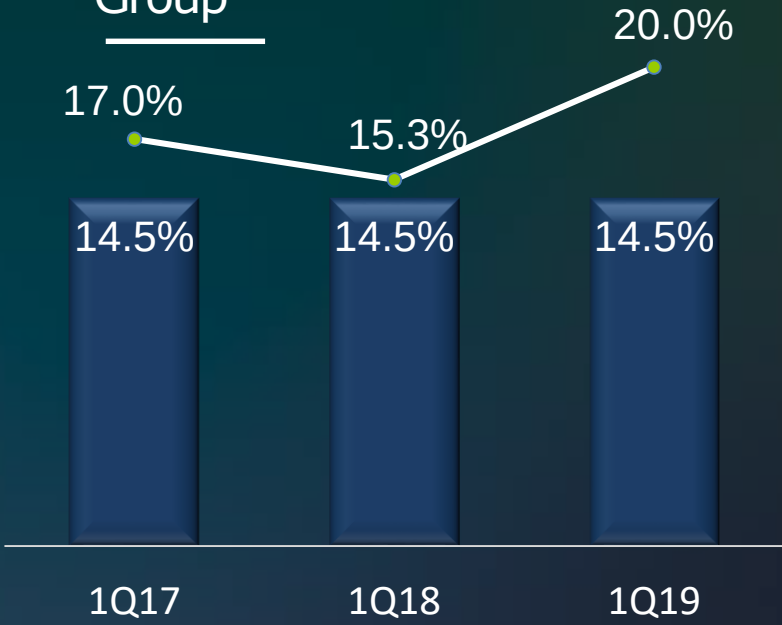


Kenya

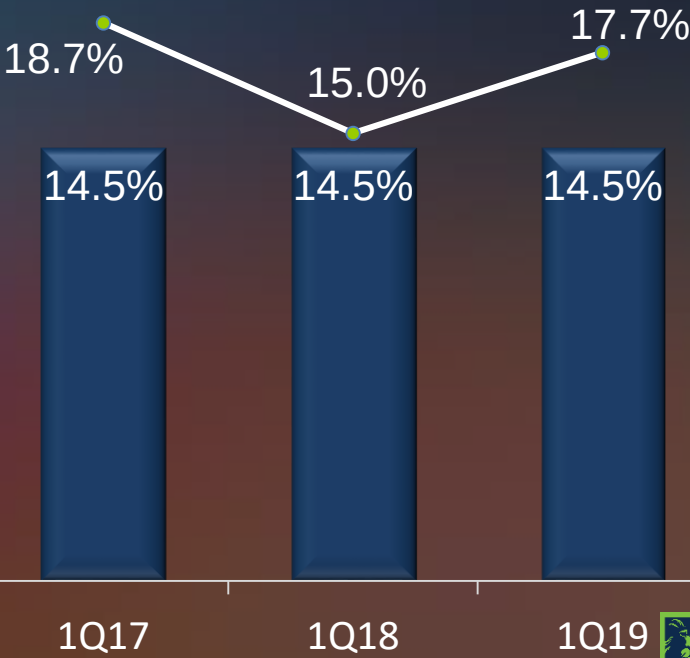


Total Capital to RWA

Group



Kenya



P&L
HIGHLIGHTS

 Profit before tax
Up 14%

 11% earnings growth to KShs 5.8B

Net interest income

KShs 11.4B

KShs 12.7B

Total non Interest Income

KShs 5.5B

KShs 6.0B

Operating Expenses (excl. Provisions)

KShs (8.9B)

KShs (9.1B)

Profit before tax

KShs 7.5B

KShs 8.5B

International Businesses highlights

13%
growth in
Net Loans
and
Advances

KShs. M

Net Loans & Advances

PBT

KCB Bank
South
Sudan

352

703

(425)

115

(127%)

KCB Bank
Burundi

1,305

2,672

51

73

43%

KCB Bank
Uganda

6,498

6,192

49

(138)

(382%)

KCB Bank
Rwanda

12,986

13,491

142

103

(27%)

KCB Bank
Tanzania

13,603

16,373

162

224

38%

1Q18

1Q19

**Strong balance
sheet driven by
KShs 46B growth
in net loans**

KShs Billion	KCB Group			KCB Bank Kenya		
	Actual 1Q18	Actual 1Q19	Y-O-Y Change	Actual 1Q18	Actual 1Q19	Y-O-Y Change
Cash and balances with central bank	33.8	56.3	67%	30.4	35.0	15%
Balances with other institutions	37.1	19.4	(48%)	10.0	11.1	11%
Investments in Government & Other securities	112.1	133.3	19%	96.6	118.0	22%
Net loans and advances	418.6	464.3	11%	383.9	424.8	11%
Fixed assets	14.4	13.9	(3%)	10.1	10.0	(1%)
Other assets	31.4	38.5	23%	29.9	35.6	19%
Total Assets	647.5	725.7	12%	560.9	634.5	13%
Customer deposits	496.4	555.2	11%	438.7	491.0	12%
Balances due to other banks	9.5	9.5	(0%)	4.7	0.9	(81%)
Other liabilities	19.4	23.0	18%	22.0	21.3	(3%)
Long-term debt	22.5	21.5	(5%)	18.4	18.7	2%
Total Liabilities	547.8	606.2	11%	483.9	531.9	10%
Shareholders' equity	99.6	119.5	20%	77.0	102.6	33%
Total liabilities and equity	647.5	725.7	12%	560.9	634.5	13%

11% GROWTH IN EARNINGS

KShs Billion	KCB Group			KCB Bank Kenya		
	Actual 1Q18	Actual 1Q19	Y-O-Y Change	Actual 1Q18	Actual 1Q19	Y-O-Y Change
Interest income	15.7	16.8	7%	14.0	15.0	7%
Interest expense	(4.2)	(4.1)	(4%)	(3.5)	(3.4)	(3%)
Net interest income	11.4	12.7	11%	10.5	11.6	10%
Foreign exchange income	1.0	1.0	0%	0.7	0.6	(6%)
Net fees and commissions	3.6	4.0	12%	2.7	3.5	29%
Other income	0.9	1.0	16%	0.8	0.9	13%
Total other operating income	5.5	6.0	9%	4.2	5.0	20%
Total other operating expenses	(8.8)	(9.1)	2%	(6.7)	(7.4)	10%
Provisions for bad debts	(0.6)	(1.2)	94%	(0.5)	(1.0)	100%
Profit before tax	7.5	8.5	14%	7.4	8.2	10%
Tax	(2.3)	(2.7)	18%	(2.0)	(2.6)	25%
Profit after tax	5.2	5.8	11%	5.4	5.6	4%

OVERVIEW OF KEY FINANCIAL RATIOS

FY17	Q1 18	FY 18		KENYA	GROUP
19.5%	19.5%	21.9%	Return on Average Equity	22.7%	21.9%
51.0%	49.1%	48.3%	Cost to Income	44.8%	48.5%
8.5%	9.8%	6.9%	Gross NPL to Gross Loans	8.1%	7.7%
72.5%	61.0%	72.4%	NPL Coverage	64.9%	60.8%
14.0%	22.6%	19.7%	Debt to Equity	18.3%	18.0%
32.2%	32.7%	32.0%	Non funded income to total income	30.2%	32.2%
3.0%	3.2%	3.2%	Cost of funds	2.8%	2.8%
8.9%	8.6%	8.1%	Net Interest Margin	8.1%	8.5%
1.5%	0.6%	0.7%	Cost of risk	0.9%	1.0%
85.1%	84.3%	84.8%	Loan to Deposit Ratio	86.5%	84.1%
10%	4%	8%	Growth of Net Loans and Advances	10.7%	11%
11%	9%	8%	Growth of Customer Deposits	11.9%	11%

2019 OUTLOOK

Non funded income growth	25.0%
NFI Ratio	34.0%
Cost/ Income ratio	47.0%
Operating expenses	6.0%
Cost of funds	3.0%
Cost of Risk	1.2%
NPL Ratio	7.0%
NIM	8.3%
Asset yield	11.3%
Loan growth	9.0%
Deposit growth	9.0%
ROA	3.60%
ROE	23.0%



THANK YOU

Investor Relations
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www.kcbgroup.com